

Medicare won't pay for your mother's nursing home. Her house will.

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Going broke in America is rarely loud. It happens in a hospital discharge office, when a social worker explains that [Medicare will cover your mother's rehab for a few weeks and then stop](#). It pays nothing for the daily help with bathing, eating and dressing that most nursing home residents actually need.

More than half of Americans turning 65 in recent years [will need long-term care](#), and one in five for five years or more. A private nursing home room costs a median of [\\$129,575 a year](#). The median household headed by someone 65 or older earns [\\$56,680](#). The arithmetic ends only one way.

So a middle-class family pays until the money is gone. Among residents who enter paying privately, [one in six spends down to Medicaid during their stay](#), in about six months. Then they qualify as poor: in most states, Medicaid won't pay until you hold [no more than \\$2,000 in countable assets](#). Then, after death, the state comes for the house. Federal law [requires it to recover Medicaid's costs from the estate](#), and for most working families that means the house.

The rich skip all of that. With an elder-law attorney and five years' lead time, you can move your assets into an irrevocable trust, [wait out Medicaid's lookback period](#), and qualify with your wealth intact. The fee runs [around \\$10,000](#), less than one month in the facility. It's the best deal in the building.

Where does the money go? Medicaid is the primary payer for [63% of nursing home residents](#), and [73% of nursing homes are for-profit](#). A KFF Health News analysis found [nearly three-quarters of homes paying rent and management fees to companies their own owners control](#), and a 2024 study found homes [hide at least 63% of their profits](#) that way.

Real estate investment trusts now hold stakes in [one in six nursing homes](#) and paid out more than \$7 billion in dividends in 2024. The largest, CareTrust, ran a [67% profit margin](#) last year. Pearlene Darby, a retired teacher, died in 2020 at 81 of infections and bedsores at a CareTrust-owned home in Sacramento, according to her death certificate. That year, court records show, the home paid CareTrust more than \$1 million in rent while running a deficit. The home denied liability and settled. When private equity buys a nursing home, a study of 7 million Medicare patients found, [short-term mortality rises about 10% and billing rises](#)

[19%](#), most of it to taxpayers.

There is a public option, and it works. About [7% of nursing homes are government-owned and 20% are nonprofit](#). In New York, for-profit homes provide [20% fewer nursing hours per resident](#) than government and nonprofit homes, about half the registered-nurse hours, and roughly 20% more bedsores. The Medicaid dollar is the same. Where it goes is not.

To be clear: the aide who turns your mother every two hours earns a median of [\\$20.13 an hour](#), and her job turns over at a median rate of [94% a year](#). She is not the problem. The people above her are. A landlord collecting rent from a home that's losing money, with Medicaid filling the gap, is not running a business. He's running a toll booth at the end of someone's life, and the toll is paid twice: by the family, then by the taxpayer.

Washington tried once. In 2024 it set a minimum staffing standard for nursing homes. The industry's lobby [spent nearly \\$17 million fighting it](#). In December, [it was repealed](#).

None of this is inevitable. Germany and Japan run [mandatory public long-term care insurance](#) that everyone pays into and everyone can use. Congress passed an American version in 2010 and [repealed it in 2013](#) before it enrolled anyone. "Go broke first" is a choice.

It's a choice young people will pay for. The median first-time homebuyer is now [40 years old](#). The house that might have been a down payment is becoming a landlord's rent check. And the generation paying today's Medicaid bills will face the same \$2,000 rule with less saved.

Congress can act: restore the staffing floor, require any facility taking Medicaid to disclose every related-party payment in plain English, and put public long-term care insurance back on the table. A bill introduced in March would already [bar Medicare payments to private-equity-owned homes](#).

I run a nonprofit that has taught more than 100,000 young people about money. I can teach them to save. I can't teach them to out-save a system built to take the house.

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